COURSE

## AQA A-level Business (7138)

# Strategy

**3.3 Unit: Business and society, business and the external environment, strategy and change · 3.3.3 Strategy**

Revision for 3.3 Unit: Business and society, business and the external environment, strategy and change: each firm works it out on its own deals.

Class **AQA A-level Business, new specification (7138)** Topic **Strategy**

THE LESSON

| | |
|---|---|
| **Setup** | 3 min |
| **Round 1** | Decisions 3 min · Deals 5 min · Topic tasks 4 min |
| Firm decisions · Deals · Topic task 1 · Topic task 2 | |
| **Round 2** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 3 · Topic task 4 · B2B deal | |
| **Round 3** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 5 · Topic task 6 · B2B deal | |
| **Final questions** | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

You launch a monthly subscription service for your existing customers.

**Which Ansoff strategy is this?**

PICK ONE

- ○ Diversification
- ○ Market development
- ○ Market penetration
- ✔ **Product development**

**Why:** A new service for existing customers is product development.

## Task 2

ROUND 1

You compete with the best service and longest warranty in town.

**Which two must be true for this to pay?**

PICK TWO

- ○ Buyers choose on price alone
- ✔ **Buyers will pay more for it**
- ✔ **Rivals find it hard to copy**
- ○ Your costs are the lowest in town
- ○ Your prices are below rivals'

**Why:** A difference pays only if buyers value it and rivals cannot copy it.

## Task 3

ROUND 2

Three dealers: their price and cost per car.

**Order by profit per car, highest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Price £18,000, cost £14,000**
2. **Price £20,000, cost £16,500**
3. **Price £24,000, cost £21,000**

**Why:** £4,000, £3,500, £3,000: the cheapest dealer earns most per car.

## Task 4

ROUND 2

A plan to have the lowest costs in town.

**New profit per car?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Price per car now | **£18,500** |
| Cost per car now | **£15,500** |
| Price cut | **2%** |
| Cost cut | **10%** |

METHOD

**Profit per car = price after the cut – cost after the cut**

£18,500 × 98% − £15,500 × 90% = £4,180

**Why:** Lowest costs let you price below rivals and still earn more per car.

## Task 5

ROUND 3

Your share of the local market is 40%, and the market has stopped growing.

**Where should you grow, and why?**

PICK A OR B AND GIVE A REASON

- ○ Harder in the local market
- ✔ **In a new region**

**Why:** In a flat market where you hold 40%, more sales must come from rivals.

## Task 6

ROUND 3

Your costs are above the discount dealer's, and your service is no better than rivals'.

**What is the main risk to your firm?**

PICK ONE

- ○ High profit from mixing both
- ✔ **Low profit: no edge on cost or service**
- ○ Rivals copy your service
- ○ Too many buyers to serve

**Why:** With no cost lead and no clear difference, profit is squeezed.

# Final questions

**6**
questions for each pupil

**109**
Level 3 Business questions

**7**
of them on strategy

**The game draws 6 of the 109 Level 3 questions; these 7 are about strategy.**

1 A dealer aims to raise market share without cutting its gross profit margin. Which measure best tests both parts?
**Compare market share and gross margin with the previous period.**

2 A dealer group swaps 'grow quickly' for 'open two profitable North West branches by December 2028'. Why is this objective stronger?
**It is specific, measurable and time-bound, so progress can be tested.**

3 A dealer group seeks fast regional growth, but its owners also require a minimum liquidity buffer. Strongest planning approach?
**Pair the growth target with a cash limit; test scenarios.**

4 An online marketplace connects many sellers directly with buyers. Which Five Forces effect most threatens a weakly differentiated traditional dealer?
**Buyer power and rivalry may rise.**

5 A model's sales have levelled off, most target customers know it, and rivals offer close alternatives. Which life cycle response is most coherent?
**Defend profitable segments, refresh differentiation or plan replacement on evidence.**

6 A small dealer cannot match a platform's scale but has trusted expertise in wheelchair-accessible vehicles. Most defensible position?
**Focus on the specialist niche.**

7 A dealer has strong electric-vehicle expertise but weak capital reserves. Which strategic choice best uses the evidence?
**A focused EV service niche at small scale.**